



TYPES OF ACCOUNTING

There are seven widely recognized types of accounting:



› **Financial** Drawn up by accountants; used by investors, creditors, and management. *See pp.110–129.*



› **Management** Used by managers to control cash flow and budgets, and forecast sales. *See pp.130–143.*



› **Governmental** Also called public finance accounting; used by public sector for noncommercial accounting.



› **Tax** Dictates exact rules that companies and individuals must follow when preparing and submitting tax returns.



› **Forensic** Engages in disputes and litigation, and in criminal investigations of fraud. *See pp.152–153.*



› **Project** Deals with a particular project; a useful aid for project management.



› **Social and environmental** Shows how a company makes a positive difference to the community and environment.

Financial statements

› **What's in an annual report?** A full record of company performance according to various criteria, as well as accounts. *See pp.104–105.*

› **What are the statements?** The main one is financial; others include sustainability, directors' pay, and charitable donations. *See pp.106–107.*

› **Who reads which statements?** Sections are relevant to banks, shareholders, government, auditors, staff, and media. *See pp.108–109.*

› **What do the notes mean?** Main statements are annotated in detail. *See pp.104–109.*

› **What are the rules?** Accounting principles regulate financial reports. *See pp.112–113.*

› **Which are the most important financial statements?** Profit-and-loss statements, balance sheets, and cash-flow statements contain key facts. *See pp.114–121.*